

ARRY pitch deck

PITCH — ARRY — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no orders, no entry today; re-open the file on the Q3 print (est. 2026-11-04) against four pre-registered gates.

What we believe

Array Technologies makes the steel-and-motor tracker systems that tilt solar panels toward the sun. The stock is \$4.67, down 62% from its 52-week high of \$12.23 and 4% above its 52-week low of \$4.48.

Three things we believe after working the filings:

- 1. The business is not deteriorating the way the original write-up said it was.** The write-up's core claim — that gross margins are collapsing 540 basis points in the second half because of commodity costs and international mix — is overstated. Management's own CFO said the first half carried roughly 200 basis points of one-time benefits, so the normalized step-down is about 340bp, not 540bp. Second-quarter gross margin was 30.8% versus 27.8% a year earlier — up 300 points on *lower* revenue. Management raised the full-year EBITDA floor (\$200–230M → \$210–230M). Margins are getting better, not worse.
- 2. The real problem is the revenue line, and it is arithmetic, not opinion.** Revenue in the first half of 2026 was \$565.5M, down 14.9% from a year ago. Third-quarter guidance of \$310–330M is down 16–21% year over year. But the full-year guide of \$1.40–1.50B is *up* 9–17% over 2025's \$1,284.1M. Every bit of that reversal has to land in the fourth quarter: \$504.5–624.5M, against \$226.0M in Q4 2025. The midpoint, \$564.5M, would be the largest quarter in the company's history — the prior record is \$507.7M from Q2 2023. A company shrinking 16% through nine months is guiding to a record quarter to finish the year.
- 3. There is a new, permanent cash drain that started 16 days before the stock made its low.** The \$506.4M Blackstone preferred stock had an option, through August 10, 2026, to pay its dividend in kind — adding to the balance instead of writing a check. That option expired. It is now cash-only, at 6.25%, roughly \$31.7M a year, stepping up 50–100 basis points on future anniversaries to about 10.25% by 2031. It has no maturity, is not convertible, and we found no company right to call it. Against a common stock worth roughly \$715M, that is about a 4.4% annual cash bleed ahead of shareholders, forever.

Put together: a franchise trading at roughly 7.2x enterprise value to EBITDA with genuinely improving margins and a 1.5x book-to-bill, whose entire full-year story depends on one unprecedented quarter, and which just started paying out a fifth of its free cash flow to a security shareholders can never retire. **That is not a buy today. It is a well-specified bet that resolves on one date.**

What the market believes

The market believes the fourth quarter does not happen as guided. That is the honest read of a stock at 62% off its high, sitting 4% above a 52-week low, at about 7x EBITDA.

We could not verify this against sell-side estimates. Neither bench could obtain a Q3 or FY26 consensus revenue number through available tools — searches returned company guidance only. So “the market believes X” is inference from price, not from a measured gap between our number and anyone else’s. That is a real weakness in this deck and we are not dressing it up.

What we *can* say the market has plainly seen: the CFO told everyone on the August 5 call that the preferred dividend “will transition to cash pay in the third quarter,” roughly “\$12 million for the remainder of 2026.” That is disclosed, quantified, and on the tape. We do not have edge there.

Why we might have edge

The revenue arithmetic. The required Q4 is an all-time record, and nobody in this file — not our first analyst, not our red bench — assembled that until late. It required pulling the quarterly revenue series directly from SEC XBRL (data.sec.gov/companyconcepts) because the evidence pack handed to both benches contained no 2026 quarters and no Q3/Q4 2025 — the exact rows the whole question turns on. If our own pack was missing them, it is plausible some of the market is anchored on the same convenient framing (“guide reaffirmed, margins raised”) without doing the subtraction.

The stock-versus-flow distinction on the preferred. Most models carry the \$506M preferred as a claim in the capital structure. Fewer have adjusted the cash flow for the fact that roughly half of the \$31.4M of “preferred dividends and accretion” booked in the first half was non-cash accrual that has now ended. The balance-sheet number didn’t change; the cash number did.

The specificity of the resolution. This is an unusually clean setup: four checkable numbers, one date. Most theses don’t resolve; this one does.

Why it might be priced in

Substantially, it probably is.

- **The preferred flip was quantified by the CFO on the earnings call.** Our red bench flagged it as a novel discovery; our blue bench correctly demoted it. When management gives you the dollar figure on a webcast, you are not early.
- **A 62% drawdown to within 4% of the low is not a stock the market thinks is fine.** The setup is priced *somewhere* between “Q4 misses badly” and “Q4 misses and the balance sheet becomes a problem.”
- **We could not check whether this is company-specific or sector beta.** Our conditioning layer (`discovery_state`) and a comparable quote for NXT were both unobtainable — IBKR access was denied to both benches. The signal that put ARRY in front of us in the first place was

an excess-drawdown trigger that turns out to have been generated off a wrong sector tag in our own data (ARRY is classified SIC 3674, semiconductors; it makes steel structures). **The name may have entered our funnel through a defect in our pipeline rather than through a real dislocation.** We have not ruled that out.

- **Orders are up 37% while deliveries are down 15%** — a 1.5x book-to-bill on a \$2.5B executed-and-awarded book. That is a well-known bull argument and it is the company's own framing. If it's right, the Q4 concern is timing, not demand, and the market may be discounting a timing problem as a demand problem — or may already have figured out it's timing and priced it correctly.

What could go wrong

Failure narrative 1 — The record quarter doesn't convert, and the guide comes down at the print. Nine months of revenue is running down about 16%. Utility-scale solar revenue depends on projects reaching mechanical completion, which depends on interconnection queues, permits, and customer capital that we cannot observe. If Q4 lands even at the low end of the implied range (\$504.5M), the year is \$1.40B — but if the company revises the year down on November 4 instead, the stock's entire remaining valuation support (7.2x EBITDA on a *growing* base) evaporates, and it becomes a shrinking-revenue levered stub. *Tripwire: monitorable.* Q3 revenue below \$310M, or any cut to the FY revenue range, at the November print.

Failure narrative 2 — The preferred gets restructured off-tape, and we learn about it as a completed fact. THIS ONE HAS NO MONITORABLE TRIPWIRE. There is a \$506M non-callable, non-convertible perpetual preferred held by a single sophisticated counterparty, whose cost to the company ratchets from 6.25% toward 10.25%. There is an obvious deal to be done — exchange it for converts, for equity, for a lower coupon with warrants — and every version of that deal is negotiated privately between the company and the holder and announced complete. There is no filing, no price move, no data series that leads it. An exchange struck at a discount to a \$4.67 stock could be severely dilutive and we would read about it in an 8-K on the morning it is done. **Unknown-unknown class: off-tape negotiated capital events with a control-adjacent security holder.** We have no detector for this class and no realistic way to build one — the information does not exist publicly before the announcement. The only defense is *sizing*, not monitoring. Related and equally unmonitorable: the quality of the “awarded” half of the \$2.5B backlog. “Awarded” is not “signed”; degradation inside it is invisible to us between quarterly disclosures.

Failure narrative 3 — The Section 232 tariff, effective 2026-12-04, cuts the wrong way, or freezes customers before it lands. We have assumed a domestic-content tailwind (the book is >95% domestic). The second-order effect is the risk: customers who defer projects while waiting for final rules push revenue right, out of exactly the quarter that has to be a record. Note the sequencing — the tariff takes effect *after* the November 4 print, so a clean print does not clear this risk. *Tripwire: partial.* We can watch the proclamation text and effective date; we cannot watch customer deferral behavior until it shows up in a guide.

The reflexive and structural leg — our own footprint, our own flow, our own rules.

- *Size versus liquidity*: not a constraint, and also not verified. Broker access was denied this session, so we have **no confirmed average daily volume for ARRY**. A starter at 0.5% of book is small in absolute dollars against a \$715M-market-cap Nasdaq name, and we do not expect impact. But we should not place an order on an unverified liquidity assumption — pull ADV before any ticket.
- *We would be bidding into our own predicted flow*. Our thesis says the stock is cheap *if* November 4 clears. If it clears, the stock gaps and we buy higher — we do not get our price. If it fails, the stock breaks the \$4.48 low and we get filled precisely in the scenario we said was the kill. This is the classic shape where a resting order is a bet you didn't mean to make: **do not leave a good-till-cancelled bid under this name through the print**. A limit under the low is not a value entry here; it is a short volatility position on an event.
- *Wash-sale and account interaction*: the household's Parametric sleeve is an indexed, tax-loss-harvesting account. A small-cap solar name is exactly the kind of position that sleeve can hold and harvest. Buying ARRY in the personal account inside 30 days of a Parametric harvest in the same name creates a wash sale we would not see until the 1099. **Check the current Parametric holdings file for ARRY before any purchase** — this is a mechanical pre-trade check, not a judgment call.
- *Doctrine interaction*: our standing default is that a clean court with no named kill produces a minimum starter rather than a flat. That default does not apply here — narrative 1 is a specific, dated, named kill, which is exactly the condition under which flat is the correct disposition. We are not using “wait” as a way to avoid a decision.
- *Taxable account, short-term clock*: an entry now that we exit on a bad print is a short-term loss at full rates; an entry that works is a short-term gain for twelve months. That asymmetry is another argument for entering *after* resolution rather than before it.

If this position loses money, the most likely reason will be that we bought a cheap multiple on a guided year that never arrived — the fourth quarter failed to deliver the largest revenue quarter in the company's history, the full-year number came down, and what looked like 7x EBITDA on a recovering franchise turned out to be a shrinking business paying \$32M a year, forever and non-callably, to someone ahead of us.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Second-half gross margin compresses 540bp — damage arriving”	Q2'26 8-K Ex 99.1 + Q2 earnings call transcript	CFO: Q1 carried “over 300 basis points of one-time benefits,” ~200bp for the half; normalized H1 gross margin 28.8%. True step-down ~340bp	No — our own write-up overstated by ~200bp
“Compression is caused by commodity/logistics costs and international mix”	Red bench fetched the cited 8-K exhibit; blue bench fetched the transcript	The words are real and management-spoken, but on the <i>call</i> , not in the exhibit the write-up footnoted. A sloppy citation, not a fabricated fact	Partly — quote real, citation wrong
Red bench: “that quote is a phantom / venue-	Blue bench pulled the transcript directly	Our red bench was wrong. It escalated an LLM summarizer's “the	No — bench error

Claim	How checked	Found	Confirmed?
divergent disclosure — the FVRR failure mode”		document does not contain...” into an affirmative finding of fabrication. Absence of evidence in one venue, treated as evidence of absence	
Red bench: “management RAISED the gross margin guide 100bp (26–27% → 27–28%), so the damage claim is inverted”	Blue bench tried to verify the May guide line	Source (Investing.com) now returns 403 even proxied; the Q1 8-K exhibit was not obtainable. Directionally supported by the EBITDA guide floor going \$200–230M → \$210–230M, but the gross-margin column itself is unverified	No — red tagged this FATAL on a column it could not open
“Cash falls from \$307M to \$154M funding the AWM acquisition — liquidity risk”	10-Q, June 30 2026	\$332.9M of committed undrawn revolver (of \$370.0M, less \$37.1M letters of credit, matures 2031); term loan extinguished; H1 operating cash flow +\$91.9M , capex \$15.1M → free cash flow ~+\$77M	No — the liquidity scare is wrong
Red bench: therefore the valuation case is damaged	Blue bench	Our red bench rebutted a claim nobody made. Drawing the revolver raises net debt one-for-one, so enterprise value and the 7.2x multiple are untouched. Correct facts, irrelevant conclusion	No — bench error
“Implied Q4 revenue is \$1,390M — below the full-year floor”	Guide arithmetic	Wrong. FY \$1,400–1,500M – H1 \$565.5M – Q3 \$310–330M = Q4 \$504.5–624.5M . The \$1,390M figure required treating a call transcript’s “roughly 60-40” as an exact constraint; at 62/38 it’s \$1,434M	No — our write-up manufactured precision from an approximation
Red bench: “...and the low end is precedented”	Blue bench, against the actual revenue series	True only at the absolute floor. The midpoint (\$564.5M) exceeds the company’s all-time record (\$507.7M, Q2’23). Red won the arithmetic and missed that it cut against its own conclusion	No — bench error
“The preferred flipped to mandatory cash-pay on 2026-08-10”	10-Q Series A note; then the transcript	Facts confirmed: PIK option at 6.25% ended 8/10/26, cash-only after, step-ups on anniversaries, no maturity, non-convertible, no company call right. Liquidation preference rose \$493.1M → \$506.4M over the half — they were genuinely accruing, so this is genuinely new cash	Yes — facts
Red bench: “...and this is a novel discovery”	Blue bench, transcript	No. CFO Jennings, August 5: dividends “will transition to cash pay in the third quarter,” ~“\$12 million for the remainder of 2026.” Management quantified it publicly. Real, sizing-relevant, correctly found — wrongly labeled as an edge	No — bench error
Blue bench’s own attempt to refute the preferred finding (“liq	10-Q	The 10-Q refuted the blue bench: \$7.8M accrued in Q2’26 alone at the 6.25% accrued rate. Recorded here because a	Self-corrected

Claim	How checked	Found	Confirmed?
pref grew too slowly for 5 years of PIK")		bench that only checks the other side isn't checking	
Revenue trajectory	SEC XBRL series, pulled directly	Q1'25 \$302.4M · Q2'25 \$362.2M · Q3'25 \$393.5M · FY25 \$1,284.1M ⇒ Q4'25 \$226.0M · Q1'26 \$223.4M · Q2'26 \$342.1M. Nine-month 2026 tracking −16% y/y against a guide implying +9–17% for the year	Yes — and neither the original write-up nor the red bench ever pulled it
Enterprise value ≈ \$1.58B / 7.2x EBITDA	Both benches carried it; nobody published the bridge	\$715M equity (153.1M diluted shares × \$4.67) + \$506M preferred = \$1.22B. Getting to \$1.58B implies ~\$360M of net debt against \$307.3M of cash and a zero-drawn revolver — i.e. roughly \$650–670M of gross debt (most plausibly the convertible notes) that neither bench itemized	No — the anchor multiple rests on an unpublished bridge
Detector coverage	Both benches ran the full atlas	14–17 detectors consulted; all NOT-FIRED or UNCHECKABLE. Two (plant_thermal, sentinel2_buildout) were unusable because our stored coordinate for the Spain plant (39.326/−4.838) is a country centroid, not the facility . Several clinical-trial and cyber detectors were dispatched at all only because of the SIC 3674 mis-tag	Coverage gap, logged
Live tape / peer comparison / crowding state	IBKR	Access denied to both benches. No independent price refresh, no NXT quote, no discovery_state, no ADV	No — unavailable

PROPOSED ENTRY BANDS

Both benches say no entry. There is no immediate order. What follows are the re-open conditions.

Disposition today: flat. Zero shares, zero orders, no resting bid. The named kill (narrative 1) is what makes flat legitimate rather than lazy.

Re-open trigger: the Q3 2026 earnings print, estimated 2026-11-04 (unconfirmed — see catalysts). Four gates, all pre-registered now, all read off the release within 30 minutes:

Gate	Threshold	Source of the number
G1 — Q3 revenue	≥ \$310.0M	Company's own Q3 guide floor
G2 — Full-year revenue guide	Not cut — range still ≥ \$1,400M at the low end	Current FY guide
G3 — Executed + awarded orderbook	≥ \$2.5B , measured <i>after</i> the tariff proclamation	Current disclosed book
G4 — Implied Q4 revenue after the Q3 actual	≤ \$560M	Below the all-time record of \$507.7M is the safe zone; ≤\$560M is the tolerance band —

Gate	Threshold	Source of the number
		above that, the year requires a record we don't believe

If all four clear: open a **starter at 0.5% of book**, at the market, within one session of the print. Do not chase more than 15% above the pre-print close; if the gap is larger than that, wait for the first pullback and re-price the multiple before acting. Basis for the buy: 7.2x EV/EBITDA on a business with an improving gross margin (+300bp y/y in Q2), a 1.5x book-to-bill, and — with G1–G4 cleared — a demonstrated conversion of backlog to revenue. Second tranche of 0.5% only after the Q4 quarter *actually prints* in February 2027, not on the Q3 guide for it.

If any gate fails: no position, and the file closes rather than reopening again in three months. A miss makes this a shrinking-revenue stub compounding a non-callable 4.4%-of-market-cap annual preferred bleed. That is not a value setup at any price we would realistically get.

Price levels that are watch-only, not orders: - **\$4.48** — the 52-week low. A clean break before the print is *information*, not an entry. If it breaks on no news, that is a signal we are missing something, not a discount. - **\$5.85** (roughly +25%) — if the stock rallies materially into the print with no new disclosure, re-court immediately. Our named kill would be getting less likely to pay, and we should find out why the market disagrees before November 4, not after. - **Under \$3.50**, the enterprise value drops toward roughly \$1.40B and the multiple toward ~6.4x on the current EBITDA guide (*this is deck arithmetic off the benches' inputs, not a bench number, and it inherits the unverified EV bridge flagged above*). Even there, we do not buy pre-print. Cheapness is not the binding question; conversion is.

Sizing discipline, standing: because failure narrative 2 has no tripwire, this name is capped at **1.5% of book, ever**, regardless of how well the gates clear. Against an unmonitorable dilution risk, size is the only control we have.

Pre-trade mechanical checks, required before any ticket: (a) pull verified ADV from the broker; (b) check the Parametric sleeve holdings for ARRY and for any harvest in the trailing 30 days; (c) refresh live price at order time — never reuse a stored quote.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.48 (deck-provisional: 52-week low; a clean break with no filing means we are missing information — re-court, do not buy the)
- filing watch: 8-K until 2027-02-22 (deck-provisional: Q3 earnings-date announcement PR expected mid-October — the 2026-11-04 date is unconfirmed and the ent)
- dated pack ARRY|2026-10-14: ARRY: approximate: company PR naming the Q3 earnings date (pattern is ~3 weeks prior); confirms or moves the whole plan (date confirmed=Fals
- dated pack ARRY|2026-11-04: ARRY: Q3 2026 earnings — the four pre-registered gates: Q3 revenue >= \$310M, FY guide not cut, executed+awarded >= \$2.5B, implied Q4 <= \$560

- dated pack ARRY|2026-12-04: ARRY: Section 232 tariff effective date — lands AFTER the print, so a clean print does not clear this risk; date not verified against the pr
- dated pack ARRY|2026-12-13: ARRY: outside date for the AWM acquisition close (date confirmed=False)
- dated pack ARRY|2027-08-10: ARRY: next Series A preferred anniversary rate step-up (+50bp, 6th anniversary), on the ladder toward ~10.25% by 2031 (date confirmed=False)

What remains unverified

1. **The May 2026 gross-margin guide line (26–27%).** Sole source returns 403 even proxied; the Q1 8-K exhibit was not obtainable. Our red bench's central claim — that management *raised* the gross margin guide — rests on this. Directionally supported by the EBITDA floor moving up, but not confirmed.
2. **Any sell-side consensus for Q3 or FY 2026.** Not obtainable. We do not know the size or sign of the gap between our number and the Street's. This is the largest hole in the deck.
3. **The enterprise value bridge.** \$1.58B and 7.2x are carried unrefuted through both benches, but no one itemized the roughly \$650–670M of gross debt the number implies. Rebuild from the 10-Q before this multiple anchors any purchase.
4. **Live tape, average daily volume, and the crowding state.** Broker access denied to both benches. Prices in this deck are the pack's (\$4.67; \$4.57 at the red bench's 12:34Z stamp).
5. **Whether this is a company-specific dislocation or sector beta.** The peer comparison (NXT) mixed bases — our write-up compared ARRY's *enterprise value* de-rate to NXT's *equity* de-rate, which for a net-cash peer moves the comparison the wrong way. Unresolved by either bench.
6. **A \$2.2M discrepancy in the preferred.** Liquidation preference rose \$13.3M in the first half against roughly \$15.5M accrued, and the preferred share-count movement in the 10-Q is unexplained on our read. Not load-bearing, but not explained either.
7. **Whether the commodity/logistics cost pressure is material.** Management said it on the call but attached no dollar or basis-point figure to it, and it does not appear in the written exhibit. Unquantified.
8. **The 2026-11-04 print date itself** — derived, not confirmed by any company release.
9. **The Section 232 effective date and its direction of effect** — neither bench cited the primary proclamation; we are carrying 2026-12-04 and a tailwind assumption on secondary sourcing.

Primary sources: [10-Q, June 30 2026](#) · [Q2'26 8-K Exhibit 99.1](#) · [SEC XBRL revenue series](#) · [8-K, August 20 2026](#) — [Investor Technology Showcase](#) · [Q2'26 earnings call transcript](#) (secondary)

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